FREE FINANCING REPORT

Auto Dealership Financing Report

Why Dealer-Operators Need Specialized Real Estate Capital, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com

PAGE 1

Why Dealer-Operators Pursue Auto Dealership Real Estate Financing

Auto dealership real estate is a special-purpose asset tied directly to the operating business built on top of it — a showroom and service facility is only worth what the franchise running inside it can produce. That link is exactly why a dedicated lending track exists, separate from both generic commercial real estate and standard business lending.

- **Purpose-built capital sources.** Specialized automotive real estate lenders and dealer-focused banks understand franchise economics, floor-plan relationships, and facility requirements in a way generalist commercial lenders — who often pass on single-use showroom and service properties — typically do not.
- **Record dealership values raise the stakes of the real estate decision.** With franchise valuations and transaction activity running at record levels in 2026, owning the real estate underneath a growing operation compounds equity alongside the value of the franchise itself.
- **SBA and owner-user leverage.** SBA 504 and 7(a) programs offer high-leverage, long-amortization options for qualifying owner-operators, meaningfully reducing the equity needed to control dealership real estate outright.
- **Manufacturer facility standards as a forcing function.** OEM image and facility requirements frequently mandate capital improvements, and lenders who specialize in this niche understand how to finance renovation alongside acquisition or refinance rather than treating it as an afterthought.
- **A stable base under a cyclical business.** While dealership earnings can swing with sales and interest-rate cycles, owned real estate gives operators a more predictable long-term cost structure than leasing, plus an appreciating asset independent of any single sales year.

That said, dealership real estate lending is not a rubber stamp. Lenders evaluate the strength of the underlying business as closely as the property, and a well-located facility attached to a weak or inexperienced operation will still face real resistance.

PAGE 2

2026 Market Outlook for Auto Dealership Financing

Dealership valuations and transaction activity have both climbed to record levels in 2026, even as per-store profitability normalizes down from pandemic-era highs — a combination that shapes how lenders are underwriting this asset class right now. The following figures outline where the market stands:

- Dealer sentiment turned meaningfully more optimistic heading into 2026: only 16% of dealers surveyed expect franchise values to decline, down sharply from 33% who expected declines in 2024, while 32% forecast higher earnings and 32% plan to acquire at least one additional dealership within the next 12 months.

  Source: CBT News / dealer sentiment survey, late 2025–2026

- The dealership buy-sell market hit a record in the first quarter of 2026, with 478 transactions completed on a trailing-twelve-month basis through March — the highest level ever recorded — and multi-dealership transactions up 36% year-over-year to 108 deals.

  Source: Kerrigan Advisors Blue Sky Report, Q1 2026

- The Kerrigan Blue Sky Index, which tracks dealership valuation multiples, rose to 178 in the first quarter of 2026 — 78% above 2019 levels — even as average dealership earnings declined an estimated 15% to 20% year-over-year as post-pandemic margins continue to normalize.

  Source: Kerrigan Advisors Blue Sky Report, Q1 2026

- Franchise-specific valuation multiples continue to diverge sharply by brand: Kia's low-end multiple rose to 4.75x on strong demand, while Audi's multiple slipped to a 5.75x–6.25x range on weaker performance — a reminder that lenders weigh franchise-specific trends far more heavily than industry-wide averages.

  Source: Kerrigan Advisors Blue Sky Report, Q1 2026

- Consolidation has accelerated alongside rising valuations: dealerships owned by the top 100 outside-capital-backed dealer groups have grown 58% since 2021 to roughly 510 locations, intensifying competition for well-located, well-run stores.

  Source: Kerrigan Advisors Blue Sky Report, Q1 2026

Bottom line for 2026: Dealership values and deal activity are at all-time highs, but per-store earnings have cooled from their post-pandemic peak — meaning lenders are underwriting normalized, forward-looking cash flow rather than recent boom-year numbers. Franchise-specific performance and operator experience now matter more than broad industry sentiment.

Sources: CBT News / dealer sentiment survey (late 2025–2026); Kerrigan Advisors Blue Sky Report, Q1 2026.

PAGE 3

Critical Financing Metrics for Auto Dealership Real Estate

Lenders in this space underwrite the dealership operation as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Real Estate Loan-to-Value (LTV)**
   Loan amount divided by the appraised value of the dealership real estate. SBA 504 structures can extend leverage further than conventional bank financing for qualifying owner-operators. 70–90% depending on program

2. **Combined Debt Service Coverage**
   Dealership operating cash flow measured against total debt service across both the real estate loan and other business obligations, calculated on normalized rather than peak-year earnings. 1.25x–1.35x typical minimum

3. **Blue Sky (Franchise) Value**
   The market's valuation of the franchise's future earning power, expressed as a multiple of earnings and tracked industry-wide through indices like the Kerrigan Blue Sky Index. Lenders use franchise-specific multiples as a sanity check against inflated seller expectations.

4. **Sales and Service Performance Trend**
   Unit sales trends and, critically, service department "absorption" — the percentage of fixed overhead covered by service and parts gross profit. 100%+ absorption favorable

5. **Franchise and OEM Standing**
   Remaining term on the franchise agreement, facility compliance with manufacturer image standards, and any performance issues flagged by the OEM.

6. **Owner/Operator Experience**
   Years operating dealerships, number of rooftops managed, and depth of relationships within the dealer network. First-time dealer-operators face materially more conservative terms.

7. **Alternative-Use Flexibility**
   The degree to which the property could be repurposed for non-automotive use if needed. Highly specialized configurations carry lower collateral value to a lender than sites with broader reuse potential.

These metrics form the practical filter that separates auto dealership financing requests that get funded from those that stall in underwriting.

PAGE 4

Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Dealership financial statements and tax returns are current, complete, and reconcile to reported sales
- [ ] Sales volume and service department performance, including absorption rate, are documented and trending favorably
- [ ] Franchise agreement status and any manufacturer facility requirements are clearly disclosed
- [ ] Combined debt service coverage across real estate and business debt meets target program minimums
- [ ] Owner/operator experience and dealer network relationships are clearly presented
- [ ] Property condition and any required OEM facility upgrades are identified before submission

Common Reasons Auto Dealership Financing Requests Underperform or Get Declined

- Incomplete or inconsistent dealership financial documentation
- Weak sales or service trends, or declining absorption rate
- Franchise agreement uncertainty or unresolved manufacturer concerns
- Insufficient operator experience for the scale of the operation
- Submitting to lenders that do not regularly finance special-purpose dealership real estate

Final Perspective

Auto dealership financing remains genuinely available in 2026 for experienced operators, supported by record franchise valuations and an active buy-sell market. But softer per-store earnings mean lenders are underwriting with real discipline rather than extrapolating recent boom-year performance.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Incomplete franchise documentation, weak service absorption data, and mismatched lenders are among the most common reasons otherwise solid dealership financing requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

Learn More About the K2 Lender-Ready System →

Seven-Day Ready or Refund Guarantee

K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com